

# Radha Mohan Sharma vs National Insurance Co. Ltd. on 15 January, 2016

NATIONAL CONSUMER DISPUTES REDRESSAL COMMISSION NEW DELHI

REVISION P

BEFORE: HON'BLE MR. JUSTICE AJIT BHARIHOKE, PRESIDING MEMBER HON'BLE MRS. REKHA GUPTA, MEMBER For the Petitioner : NEMO For the Respondent : MR Kishore Rawat, Advocate Dated : 15 Jan 2016 ORDER REKHA GUPTA Revision petition no. 2885 of 2007 and 3069 of 2007 have been filed against the same impugned order dated 13.04.2007 of the Madhya State Consumer Disputes Redressal Commission, Bhopal ('the State Commission') Appeal no. 973 of 2005. Whereas the petitioner in RP No. 2885 of 2007, i.e., National Insurance Company Ltd., has prayed for setting aside the order dated 13.04.2007 passed by the State Commission, Bhopal, the respondent Radha Mohan Sharma who is the petitioner in RP no. 3069 of 2007 has prayed for interest of 12%. The facts of the case are taken from RP no.2885 of 2007.

2. The respondent/ complainant - Radha Mohan Sharma - got his jeep insured from the office of the insurance company on 09.07.2003 on cash payment of Rs.15,160/-. The said jeep was stolen between the night of 06.05.2004 and 07.05.2004 for which an FIR was lodged with the police station Porsa. The respondent immediately informed the petitioner telephonically about the said incident, despite the fact that the information of the incident was immediately given to the petitioner by the respondent - Radha Mohan Sharma with copies of FIR. Registration Certificate, Insurance Claim Forms were supplied, the petitioner/ insurance company repudiated the claim on the ground of not giving the claim information immediately and for not getting an FIR registered until 09.07.2003. This was deficiency in service on the part of the petitioner. The respondent/ Radha Mohan Sharma has prayed for allowing the relief to him.

3. The insurance company in their written statement before the District Consumer Disputes Redressal Commission, Morena (MP) ('the District Forum') stated that the said jeep was got insured as per the terms of the policy of M/s Mahindra and Mahindra Financial Services on due payment of the amount of premium. The respondent/ Radha Mohan Sharma had not given any information on telephone regarding the theft of the said jeep. The information of the said incident was given on 14.06.2004 by the respondent which was a clear violation of the terms and conditions of the policy. As per the terms of the policy, the respondent should have informed in writing without any delay regarding the said theft to the insurance company. The registration of the said vehicle had also not been done from the concerned RTO by the respondent and neither any information had been given to the insurance company regarding the same. Due to the said reason Radha Mohan Sharma was informed vide letter dated 25.06.2004 about the repudiation of his claim. Thus there was no deficiency in service on the part of the insurance company. Therefore, the insurance company has prayed for dismissal of the complaint on the above said grounds.

4. The District Consumer Disputes Redressal Forum, Morena ("the District Forum") vide its order dated 26th April 2005 while dismissing the complaint observed as under:

"The theft of the vehicle (Jeep) in question was stated to have happened between the night of 6th and 7th May 2004 by Radha Mohan Sharma. The insurance company has filed on record the terms of the policy according to which on the happening of theft of vehicle or any other damage to the vehicle, it is essential that the insurance company should be informed in writing immediately. In the present case it is an admitted fact that the information in writing to the insurance company was given on 14th June 2004 by the complainant. In such a situation the information of the incident has been given to the insurance company by the complainant after a long delay of one month and eight days as against the terms of the policy.

The argument on the part of the complainant is that he had informed the insurance company after the incident through telephone, but the said fact has been denied by the respondent in his affidavit and they have denied about the receipt of such information through telephone.

The document relating to the terms of the policy which has been filed by the respondent has not been challenged by the complainant. As per terms of the policy the complainant has to inform immediately in writing to the insurance company regarding the theft of the vehicle, but the complainant had informed in writing to the company after a considerable delay of one month and eight days and as such has violated the terms the policy. From the perusal of the photocopy of FIR filed by the complainant, it appears that the complainant had informed late to the police and also whereas as per the terms of the policy, it is essential that the police should be informed immediately.

On the basis of the above, we are of the considered opinion that the respondent has not committed any deficiency of service while repudiating the claim of the complainant. Therefore, this complaint of the complainant is dismissed".

5. Aggrieved by the order of the District Forum, the respondent/ complainant filed an appeal before the State Commission. The State Commission while allowing the appeal observed as under:

"As already stated, report of theft was lodged with the police on 09.05.2004, without delay. Appellant has also produced postal receipt and filed his affidavit, evidencing that a letter, intimating theft was also sent by appellant to respondent/ insurance company. Company on 11.04.2004 (11.05.2004 corrected vide order dated 17.05.2007 passed in MJC no. 182 of 2007 by Hon'ble Commission 18.06.2007 Registrar). This receipt was not produced before the District Forum but it being a public document, we have permitted it to be taken on record and we see no reasons to suspect its genuineness. Even as per admission of the respondent/ insurance company, a formal intimation on the prescribed format was given to the respondent/ insurance company on 14.06.2004. It cannot be thus, said that the respondent/

insurance company had no knowledge of theft and was in any manner deprived of opportunity of having the matter investigated.

As regards the registration of the vehicle, it is seen that the vehicle was initially registered with RTO, Gwalior but later on it was registered with RTO Loharu (Haryana). It is true that no intimation of this registration of the vehicle with RTO, Loharu was given to the respondent/ insurance company, but the fact remains that the vehicle was so registered with the said RTO. This is also nothing in the policy document, requiring the appellant insure to give intimation of any such subsequent registration of the vehicle to the insurance company.

It will be thus, seen that the repudiation of the appellant's claim was wholly unjustified and the respondent/ insurance company was bound to pay the sum assured to the appellant. The vehicle was a new one and was stolen in the first year of its insurance. It was insured at the insured declared value, i.e., Rs.3,81,764/- and the respondent, is therefore, liable to pay this amount to be appellant.

We thus, allow the appeal, set aside the impugned order and direct the respondent/ insurance company to pay Rs.3,81,764/- to the appellant. The amount be paid within 30 days of the communication of the copy of this order, failing which the amount shall carry interest @ 6% per annum from the date of this order till payment. The respondent shall also bear the cost of the appellant of both the Fora and the same is quantified at Rs.1,000/-".

6. Hence, the present revision petition.

7. We have heard the learned counsel for the insurance company. No one appeared on behalf of Radha Mohan Sharma even on the second call, hence, he was proceeded ex parte in both the revision petitions.

8. Learned counsel for the insurance company has stated that the State Commission has grossly erred in relying upon the postal receipt dated 11.05.2004 when the said document was not filed by the respondent/ complainant before the District Forum. Even otherwise the document in question was fabricated on the face of it because it was never the case of the respondent in the complaint filed before the District Forum that any letter was written to the insurance company on 11.05.2004. Even in the Memorandum of Appeal, this fact was not alleged. The intimation regarding the theft was given to the petitioner company only on 14.06.2004. As such the State Commission could not have relied on the said document. The State Commission has further erred in holding that the postal receipt is a public document and therefore, its genuineness cannot be doubted. In the peculiar facts of the case and even otherwise the postal receipt ought to have been proved in accordance with law and opportunity ought to have been given to the petitioner insurance company to verify the correctness of the same. The State Commission has failed to appreciate that the claim of the

complainant was repudiated as per terms and conditions of the policy. Condition no. 1 of the policy categorically stipulates that the notice of the claim has to be given in writing to the insurance company immediately. The claim was intimated to the insurance company only on 14.06.2004, i.e., after one month and eight days and no explanation for the said delay has been given.

9. We have carefully gone through the record. In the complaint, the respondent has nowhere mentioned any dates regarding when he lodged the FIR or when he informed the insurance company in writing. He has only mentioned that "the information of the incident was immediately given to the respondent by the complainant and the respondent company was contacted. The respondent asked the complainant to locate the Mahindra Max Jeep and the complainant again tried for the same at his level best, but on remaining the same untraced the respondents were again contacted on telephone. The respondents asked for a written application and the complainant submitted the same. They have also asked to submit a claim form and the same was also furnished by the complainant in time."

10. In the affidavit filed by him in this case Radha Mohan Sharma has stated as under:

"The information of the said incident was immediately given to the respondent insurance company on telephone and simultaneously the finance company was also informed. Many efforts were made to search the vehicle with the cooperation of other person also but despite the same whereabouts of the jeep are not known till date. When the vehicle did not locate, the insurance company was contacted and the claim form along with the FIR, registration certificate and panchanma etc., were submitted but the claim was repudiated".

11. Placed on file is also a letter to the opposite party which is a Durghatna Suchna (Accident Information), which is addressed to the Branch Manager of the National Insurance Company, Branch Office, Morena which has been received by the petitioner company only on 14.06.2004. It is also an admitted fact that the FIR is dated 09.05.2004. The respondent has also stated that the police had lodged the FIR on 09.05.2004 when his jeep was allegedly stolen on the intervening night of 6th/ 7th May 2004. He also gave written information to the petitioner only on 14.06.2004. He has thus violated the terms and conditions of the policy as observed by the District Forum in their order. We do not agree with the State Commission that the report of theft lodged with the police on 09.05.2004 was without delay. The State Commission has also relied on a letter dated 11.05.2004 allegedly sent to the petitioner regarding theft but this was not produced before the District Forum. The State Commission however, took cognizance of the letter on the ground that, 'being a public document, we have permitted it to be taken on record and we see no reason to suspect its genuineness'. Communication to the petitioner cannot be taken as a public document. Further, in his letter to the petitioner which was received on 14.06.2004 the respondent has made no mention of any earlier letter.

12. In view of the above reasoning, we allow the revision petition no. 2885 of 2007 filed by the Insurance Company and set aside the impugned order of the State Commission and uphold the order of the District Forum and dismiss the complaint. Accordingly, the revision petition no. 3069 of 2007 filed by Radha Mohan Sharma is dismissed.

.....J AJIT BHARIHOKE PRESIDING MEMBER ..... REKHA GUPTA  
MEMBER